



Freddie Mac HomeOne

Mortgage insurance providers may have additional restrictions not listed within this document. Please refer to each mortgage insurance company's website for complete eligibility details.

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE ¹				
Property Type	Maximum LTV	Maximum TLTV/HTLTV ²	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	97%	105%/97%	NA	LPA - <i>Accept</i>

1. See [Loan Purpose](#) section below
2. Maximum TLTV ratios for mortgages with secondary financing that are not Affordable Seconds is 97%. Maximum TLTV ratio for mortgages with Affordable Seconds is 105%. Maximum HTLTV ratio is 97%. See [Subordinate Financing](#) section below for eligibility requirements for Affordable Seconds (aka Community Seconds).

PROGRAM SUMMARY

HomeOne Mortgages are fixed rate, single family residence mortgages.

PRODUCTS OFFERED

Product Name	Term
Freddie Mac HomeOne 30-Year Fixed	30 years
Freddie Mac HomeOne 25-Year Fixed	25 years
Freddie Mac HomeOne 20-Year Fixed	20 years
Freddie Mac HomeOne 15-Year Fixed	15 years

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming loan limits for 1-unit properties (high-cost area limits, except for standard AK, HI, and USVI exceptions, are not eligible under this program).

ELIGIBLE BORROWERS

- For purchase transactions, at least one borrower must be a first-time homebuyer who meets all of the following requirements:
 - Is purchasing the mortgaged premises
 - Will reside in the mortgaged premises as a primary residence
 - Had no ownership interest (sole or joint) in a residential property during the three-year period preceding the date of the purchase of the mortgaged premises
 - A displaced homemaker or a single parent if the individual had no ownership interest in a residential property during the preceding three year period other than an ownership interest in the marital residence with a spouse. If they solely owned the marital residence, or solely or jointly owned a second home or investment property, the individual may not be considered a first-time homebuyer

INELIGIBLE BORROWERS

- Non-occupant co-borrowers

ELIGIBLE PROPERTY TYPES

- 1-unit properties
- Freddie Mac-warrantable condominium
- Planned Unit Development (PUD)
- Modular home

INELIGIBLE PROPERTY TYPES

- 2 to 4-unit properties
- Manufactured home
- Cooperative property

MINIMUM CREDIT SCORES

All cores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*.

QUALIFYING RATE

- Note rate

LOAN PURPOSE

Refinance Loans must meet the following requirements:

- Mortgage being refinanced must be owned in whole or in part or securitized by Freddie Mac
 - the loan look-up tool within can be located at <https://ww3.freddiemac.com/loanlookup>
- Mortgages with TLTV with secondary financing that is not an Affordable Second, the mortgage being refinanced must be owned in whole or in part or securitized by Freddie Mac
- Mortgages with secondary financing that is an Affordable Second, the mortgage being refinanced does not have to be owned or securitized by Freddie Mac
- Existing Affordable Second liens that can be documented to have been used for the original purchase of the property may be refinanced into the new loan.
- Existing Affordable Second liens may be re-subordinated.

Freddie Mac loan ownership can be determined by using the Freddie Mac Loan Look-up Tool and confirmation placed in the loan file.

QUALIFYING RATIOS

- Determined by Loan Product Advisor (LPA)

UNDERWRITING

All loans must meet the parameters as set out in Flagstar Bank's Residential Underwriting Guidelines.

- All loans must submitted to Loan Product Advisor (LPA) and receive an Accept response.
 - Findings must indicate that the loan has been assessed as a HomeOne Mortgage.
- At least one borrower must complete a homeownership education course if all borrowers are first time homebuyers. See [Homeownership Education](#) below.

- All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*. Manual underwriting, thin file or non-traditional credit profiles are not eligible.
- First-time homeowners may not own any other residential property.
- No minimum contribution from borrower personal funds are required. Sources of funds follow standard guidelines

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller (directly or indirectly), builder, real estate agent/broker, or any other party with an interest in the real estate transaction. The mortgage lender may also be considered an interested party if it has an ownership relationship with the property seller or one of the other interested parties such as the builder or real estate broker/agent. Such contributions may be used to:

- Reduce permanently the interest rate of the mortgage
- Towards mortgage financing costs, closing costs, or prepaids/escrows, including up to 12 months of homeowners association dues.
- Maximum 3%

HOMEOWNERSHIP EDUCATION

Refer to [Conventional Underwriting Guidelines](#) for requirements.

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the [Conventional Underwriting Guidelines](#) for details. The use of financing obtained from the property seller is not allowed.

Eligible Affordable (Community) Seconds subsidized subordinate financing. Community Seconds may be eligible from a state, local or municipal authority or agency, a 501(c)(3) nonprofit corporation, a tax-exempt religious organization or the borrower's employer. Flagstar Bank must review all Community Second programs for eligibility. An official written description of the program (from the agency providing the funds), the loan documents used in connection with the financing (i.e. the Note, Mortgage/Deed of Trust, etc.), and any other written descriptive material must be submitted with the loan file. Subordinate financing program review generally requires three to five business days for approval.

TEMPORARY BUYDOWNS

Not eligible

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in the Texas Home Equity/50(a)(6) Right of Rescission section of [Conventional Underwriting Guidelines](#), to determine whether or not they must be originated under the requirements of Section 50(a)(6) of the Texas Constitution. Those determined to fall under Section 50(a)(6) must refer to the *Texas Homestead 50(a)(6) Refinance*, [Doc #5907](#) program descriptions for eligibility standards.

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details. Reduced MI coverage is not eligible.

All loans require mortgage insurance coverage according to the following guidelines:

MORTGAGE INSURANCE GUIDELINES

Primary Residence – Purchase & Rate/Term Refinance		
LTV	25 & 30-Year	15 & 20-Year
95.01-97%	35%	35%
90.01-95%	30%	25%
85.01-90%	25%	12%
80.01-85%	12%	6%

NEW YORK PROPERTIES

See [Conventional Underwriting Guidelines](#).

For Single Financed Mortgage Insurance (SFMI) and Lender Paid Mortgage Insurance (LPMI) eligibility see *Single Financed Mortgage Insurance (SFMI) & Lender Paid Mortgage Insurance (LPMI) Matrix*, [Doc. #5010](#).

STATE ELIGIBILITY

These products are available in the following states/territories with restrictions. The states/territories not listed are available without restrictions.

State/Territory	Restriction
Puerto Rico	Ineligible
New York	Refer to Mortgage Insurance section above for mortgage insurance coverage calculation requirements.
Texas	Refer to Texas Refinances section above.

PREPAYMENT PENALTY

None

CLOSING DOCUMENTATION

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in Loantrac.

ALL LOANS

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series
- Standard title commitment with all applicable endorsements

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form# 3150